



Balaji Amines Ltd (BALAMINES)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID

CMP ₹2,016 (ATH)	52W H / L ₹2,027* / ₹968	MKT CAP ₹6,530 Cr	P/E (TTM) VS SECTOR 39.1x vs ~40-45x	ROE / ROCE 8.8% / 11.0%
PROMOTER (Δ, PLEDGE) 54.59% · flat · nil	FII / DII Δ 2.99% / 1.46%	BETA ~1.2 (approx)	ADV 22.5L sh (6x spike, 2 Jun)	NET DEBT ₹133 Cr · ~debt-free

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

A sharp, margin-led earnings turn — Q4 FY26 EBITDA margin jumped to ~24% (from ~19%) and PAT rose 58% YoY — validated the amine up-cycle just as Balaji commenced commercial output at India's first 1,00,000-TPA Dimethyl Ether (DME) plant on 20 May 2026, igniting a +128%/3-month re-rating to all-time highs.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial Inflection + Capex (cyclical recovery)	EBITDA margin +5-7pp to ~24-25%; Q4 PAT +58% YoY; mgmt guides FY27 vol +10-15%, margin 22-23%	H recovery already printed; DME live	Realised May-Jun 2026; DME ramp through FY27

Priced in? Largely. Stock +128%/3mo to ATH on 6x volume; P/E ~39x on still-trough ROCE (11%). Street targets (₹1,306-1,415) sit ~30-35% **below** CMP — the tape has front-run the fundamentals; near-term upside from here is thin. · Source: Q4 FY26 results 13-14 May 2026; DME commissioning BSE filing 20 May 2026; Business Standard 2 Jun 2026

BULL

₹2,350 (+17%)

Margins hold >24% into Q1 FY27, DME volumes ramp, brokers upgrade stale targets

BASE

₹1,800 (-10%)

Blow-off digests; mean-reversion/consolidation as momentum cools

BEAR

₹1,500 (-25%)

Amine spread/margin reversal + valuation de-rate back to breakout base

A real cyclical turn — but the tape has already paid for it. After a +128% three-month run to all-time highs on 6x volume, a fresh swing long offers poor reward-to-risk; the edge is in buying a pullback, not chasing the blow-off.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capex / Volume	DME 1,00,000-TPA ramp (India's first; replaces LPG in aerosol/industrial)	New volume leg; feeds FY27 +10-15% vol guide	H	H1 FY27 ramp	BSE filing 20 May 2026
Policy / Reg	China anti-dumping duty on acetonitrile imports	Stabilises domestic amine pricing → margin support	H	In force	Business Today 14 May 2026
Capex / Volume	ACN plant upgrade to 60 MT/day, Unit-III Chincholi	Higher acetonitrile output into a duty-protected market	M	Commission FY27 (Q2)	Indian Chemical News / concall
Capex / Volume	DMF capacity doubling (+30,000 TPA new plant)	Extends DMF market leadership (30k→60k TPA)	M	FY27+	Company capex plan, May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capex / Volume	NMM (N-Methyl Morpholine) 5,000-TPA plant	New specialty stream; ₹250 Cr FY27 specialty capex	M	FY27	Company capex plan, May 2026
Sentiment	Plant visit & analyst meet, Solapur	May trigger fresh coverage / target upgrades	M	05 Jun 2026	ScanX / exchange intimation
Capital action	Final dividend ₹11/share (FY26)	Yield ~0.55%; record date pending	L	~Aug–Sep 2026	Board, 13 May 2026
Technical	Vertical breakout to ATH on 6× volume (+19% on 2 Jun)	Strong momentum, but overbought / exhaustion risk	M	Now	Business Standard 2 Jun 2026

WHAT THE STREET IS PRICING IN

Coverage is thin. The handful of published consensus targets (₹1,306–₹1,415; ~₹1,334 avg) now sit ~30–35% below CMP ₹2,016 — i.e. they pre-date the rally and must either be upgraded or the stock corrects. MarketsMojo flags a "Strong Sell" (Mojo score 27) on valuation. **IN the price:** full margin recovery + DME optionality. **NOT in the price:** proof that 24%+ EBITDA margins sustain through FY27 and that the DME/ACN/DMF capex converts to ROCE above cost of capital (ROCE today only 11%).

KEY LEVELS & TRADE FRAME

Entry zone	₹1,650–1,780 (on pullback, NOT CMP)
Stop (breakout-base swing low)	₹1,540
Target 1 / Target 2	₹2,150 / ₹2,350
R:R · suggested size	~1:1.7 from pullback · ≤2–3% cap

Levels approx — verify on chart (no live DMA feed). Chasing at CMP ₹2,016 gives poor R:R; framed for a mean-reversion entry.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rate	P/E 39× on ROCE 11%, ROE 8.8%	–25 to –35%	H
Momentum / blow-off unwind	6× volume spike at ATH after +128%/3mo	–15 to –25%	H
Margin / spread reversal	China oversupply returns; AD duty lapses	–20 to –30%	M
Earnings sustainability	7 weak quarters before Q4; Q1 FY27 miss	–15 to –20%	M
Capex / FCF (qualitative)	DME–ACN–DMF ramp slips; thin FCF vs dividend	–10 to –15%	M

CATALYST CALENDAR

DATE	EVENT
05 Jun 2026	Plant visit & analyst meet (Solapur)
H1 FY27	DME 1,00,000-TPA volume ramp
~Aug 2026	Q1 FY27 results — margin-sustainability check
~Aug–Sep '26	AGM / FY26 ₹11 dividend record date
Q2 FY27	ACN 60 MT/day plant commissioning

AVOID

The amine up-cycle and India's-first-DME story are genuine, but a +128%/3-month surge to all-time highs at ~39× P/E on 11% ROCE has front-run the fundamentals; chasing the 6×-volume blow-off is poor swing reward-to-risk. **Flips the call:** a pullback that holds the ₹1,650–1,780 zone, OR Q1 FY27 confirming EBITDA margin sustained >24% with DME volumes ramping — either turns this into a BUY.

MPM · SCREEN — ANALYZE — INVEST

For information only; not investment advice or a recommendation to buy or sell. Cyclical chemicals carry high earnings and price volatility. Verify all figures against the latest exchange filings before acting.

Sources: Q4/FY26 results — Business Standard & Business Today (13–14 May 2026); DME commercial-production BSE filing (20 May 2026); Business Standard "soars 19%" (2 Jun 2026); Screener.in fundamentals (3 Jun 2026); Whalesbook bull/bear & MarketsMojo (May–Jun 2026). *52W high shown is the new ATH (₹2,027, 2 Jun 2026), superseding the stale vendor 52W-high of ₹1,956.

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